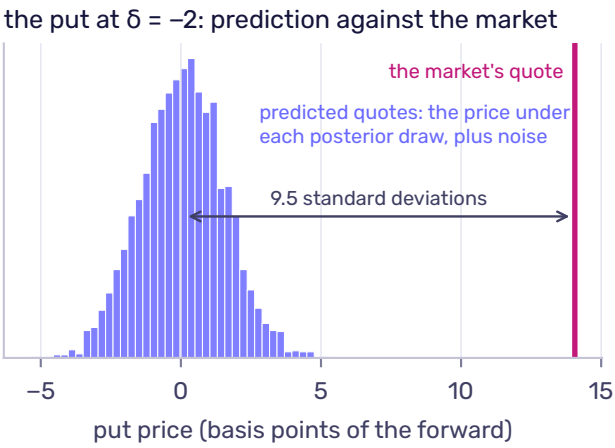
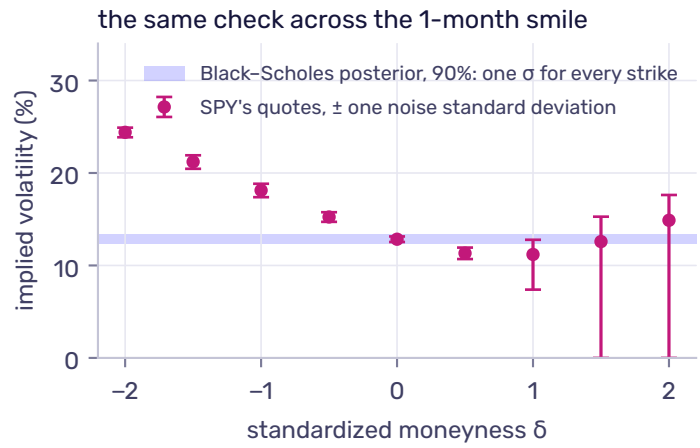

the put at δ = −2: prediction against the market
the market's quote
predicted quotes: the price under each posterior draw, plus noise
9.5 standard deviations
−5
0
5
10
15
put price (basis points of the forward)


the same check across the 1-month smile
Black–Scholes posterior, 90%: one σ for every strike
SPY's quotes, ± one noise standard deviation
implied volatility (%)
30
20
10
0
−2
−1
0
1
2
standardized moneyness δ